

B S R & Associates LLP

Chartered Accountants

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Limited review report

To
Board of Directors of Granules India Limited

1. We have reviewed the accompanying Statement of unaudited standalone financial results of Granules India Limited ("the Company") for the quarter ended 30 June 2019.
2. This Statement, which is the responsibility of the Company's management and approved by the Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "*Interim Financial Reporting*" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations'). Our responsibility is to issue a report on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*" issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of company personnel and analytical procedures applied to financial data and thus provides less assurance than an audit. We have not performed an audit and accordingly, we do not express an audit opinion.
4. Attention is drawn to the fact that the figures for the 3 months ended 31 March 2019, as reported in these financial results are the balancing figures between audited figures in respect of the full previous financial year and the published year to date figures up to the third quarter of the previous financial year. The figures up to the end of the third quarter of previous financial year had only been reviewed and not subjected to audit.



Granules India Limited
Limited review report (continued)

5. Based on our review conducted as above, nothing has come to our attention that causes us to believe that the accompanying Statement, prepared in accordance with applicable accounting standards and other recognised accounting practices and policies has not disclosed the information required to be disclosed in terms of Regulation 33 of the Listing Regulations including the manner in which it is to be disclosed, or that it contains any material misstatement.

for B S R & Associates LLP

Chartered Accountants

ICAI Firm Registration Number: 116231W/ W-100024



Sriram Mahalingam

Partner

Membership No:049642

UDIN: 19049642AAAACA7362

Place: Hyderabad

Date: 30 July 2019

Statement of Standalone Unaudited Results for the quarter ended June 30, 2019

Sl No.	Particulars	Quarter ended		Year ended	
		30.06.2019	31.03.2019	30.06.2018	31.03.2019
		Un-Audited	Audited	Un-Audited	Audited
	Income				
1	Revenue from operations	56,784.79	56,099.67	44,033.91	209,843.26
2	Other income	151.37	151.21	1,801.81	2,848.91
3	Total income (1+2)	56,936.16	56,250.88	45,835.72	212,692.17
	Expenses				
	(a) Cost of materials consumed	31,140.48	34,024.78	29,440.73	131,733.38
	(b) Changes in inventories of work in progress and finished goods	(847.98)	(1,024.03)	(4,098.09)	(6,701.53)
	(c) Employee benefits expense	4,576.85	4,260.84	4,144.79	16,699.57
	(d) Finance costs	680.02	680.24	652.35	2,836.02
	(e) Depreciation/ amortisation expense	2,525.50	2,313.76	2,187.09	9,077.21
	(f) Other expenses	10,053.77	9,943.85	7,581.76	34,876.84
	Total expenses	48,128.64	50,199.44	39,908.63	188,521.49
5	Profit before exceptional items and tax (3-4)	8,807.52	6,051.44	5,927.09	24,170.68
6	Exceptional items	-	-	-	-
7	Profit before tax (5-6)	8,807.52	6,051.44	5,927.09	24,170.68
8	Tax expense				
	a) Current tax	3,025.39	1,610.67	2,141.46	8,192.27
	b) Deferred tax	(171.05)	305.07	(171.29)	(205.64)
	Total tax expense	2,854.34	1,915.74	1,970.17	7,986.63
9	Profit for the period (7-8)	5,953.18	4,135.70	3,956.92	16,184.05
10	Other Comprehensive income (net of tax)				
	(a) (i) items that will not be reclassified to profit or loss	-	(104.92)	-	(104.92)
	(ii) income tax on (i) above	-	36.66	-	36.66
	(b) (i) items that will be reclassified to profit or loss	(429.00)	1,352.00	473.96	1,870.87
	(ii) income tax on (i) above	149.91	(472.45)	(165.62)	(653.76)
	Total Other Comprehensive income, net of tax	(279.09)	811.29	308.34	1,148.85
11	Total Comprehensive income for the period (9+10)	5,674.09	4,946.99	4,265.26	17,332.90
12	Paid-up equity Share Capital (Face Value of Re.1/- per share)	2,542.48	2,542.48	2,540.93	2,542.48
13	Other equity				139,781.03
14	Earnings per Share (Face value Re. 1/- each) (not Annualised)				
	(a) Basic (in Rs.)	2.34	1.63	1.56	6.37
	(b) Diluted (in Rs.)	2.34	1.62	1.55	6.35

- The above standalone unaudited financial results for the quarter ended June 30, 2019 have been reviewed by the Audit Committee on July 30, 2019 and approved by the Board of Directors at their meeting held on July 30, 2019.
- The standalone unaudited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Auditors of the Company have carried out Limited Review of the financial results for the quarter ended June 30, 2019.
- Effective from April 1, 2019, the Company has adopted Ind AS 116 – Leases using modified retrospective method. This has resulted in recognizing right of use assets and lease liability as on April 1, 2019. The adoption of the standard did not have any material impact to the financial results.
- The Company operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- The Board of Directors at their meeting held on July 30, 2019 has declared first interim dividend of 25 paise per equity share of Re.1/- each.
- The figures for the quarter ended March 31, 2019 are the balancing figures between audited figures in respect to full previous financial year and the published unaudited year to date figures upto the end of the third quarter of the previous financial year, which were subjected to limited review.
- The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.



FOR IDENTIFICATION ONLY

for and on behalf of the Board


 Krishna Prasad Chigurupati
 Chairman and Managing Director

Place : Hyderabad
 Date : July 30, 2019

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Chartered Accountants

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Limited review report

To
Board of Directors of Granules India Limited

1. We have reviewed the accompanying Statement of unaudited consolidated financial results of Granules India Limited ("the Parent") and its subsidiaries (the Parent and its subsidiaries together referred to as "the Group"), and its share of the net profit after tax and total comprehensive income of its associate and a joint venture for the quarter ended 30 June 2019 ("the Statement"), being submitted by the Parent pursuant to the requirements of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ('Listing Regulations').
2. This Statement, which is the responsibility of the Parent's management and approved by the Parent's Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "*Interim Financial Reporting*" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. Our responsibility is to express a conclusion on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "*Review of Interim Financial Information Performed by the Independent Auditor of the Entity*", issued by the Institute of Chartered Accountants of India. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

We also performed procedures in accordance with the circular issued by the SEBI under Regulation 33 (8) of the Listing Regulations, to the extent applicable.

4. The Statement includes the results of the following entities:
 1. Granules USA Inc.
 2. Granules Pharmaceutical Inc.
 3. Granules Europe Limited
 4. Granules-Biocause Pharmaceutical Co. Ltd.
 5. Granules Omnicem Private Limited



Granules India Limited
Limited review report (continued)

5. Attention is drawn to the fact that the figures for the 3 months ended 31 March 2019 as reported in these financial results are the balancing figures between audited figures in respect of the full previous financial year and the published year to date figures up to the third quarter of the previous financial year. The figures up to the end of the third quarter of previous financial year had only been reviewed and not subjected to audit.
6. Based on our review conducted and procedures performed as stated in paragraph 3 above and based on the consideration of the review reports of other auditors referred to in paragraph 7 below, nothing has come to our attention that causes us to believe that the accompanying Statement, prepared in accordance with the recognition and measurement principles laid down in the aforesaid Indian Accounting Standard and other accounting principles generally accepted in India, has not disclosed the information required to be disclosed in terms of Regulation 33 of the Listing Regulations, including the manner in which it is to be disclosed, or that it contains any material misstatement.
7. We did not review the financial information of two subsidiaries included in the Statement, financial information reflect total revenues of Rs. 13,714.58 lakhs , total net profit after tax of Rs 679.02 lakhs and total comprehensive income of Rs, 558.41 lakhs for the quarter ended 30 June 2019, as considered in the consolidated unaudited financial results. The consolidated unaudited financial results also includes the Group's share of net profit after tax of Rs. 3,009.47 lakhs and total comprehensive income of Rs. 2,646.21 lakhs for the quarter ended 30 June 2019, as considered in the Statement, in respect of an associate, whose financial information has not been reviewed by us. The financial information of the two subsidiaries and the associate, all incorporated outside India have been prepared in accordance with accounting principles generally accepted in their respective countries and which have been reviewed by the other auditors under auditing standards applicable in their respective countries. The Parent's management has converted the financial information of the two subsidiaries and the associate from accounting principles generally accepted in their respective countries to accounting principles generally accepted in India. We have reviewed these conversion adjustments, if any, made by the Parent's management. Our opinion in so far as it relates to the balances and affairs of such subsidiaries and associate is based solely on the reports of the other auditors and the procedures performed by us as stated in paragraph 3 above.

Our conclusion on the Statement is not modified in respect of the above matters.



Granules India Limited

Limited review report (continued)

8. The Statement includes the financial information of a subsidiary which has not been reviewed, whose financial information reflect total revenue of Nil, total net loss after tax of Rs. 58.86 lakhs_ and total comprehensive loss of Rs. 40.01 lakhs for the quarter ended 30 June 2019 , as considered in the Statement. The Statement also includes the Group's share of net loss after tax of Rs.460.39 lakhs and total comprehensive loss of Rs. 460.39 lakhs, respectively, as considered in the consolidated unaudited financial results, in respect of a joint venture, based on their financial information which have not been reviewed. According to the information and explanations given to us by the management, these financial information are not material to the Group.

Our conclusion on the Statement is not modified in respect of the above matter.

for B S R & Associates LLP

Chartered Accountants

ICAI Firm Registration Number: 116231W/ W-100024



Sriram Mahalingam

Partner

Membership No:049642

UDIN: 19049642AAAACB4928

Place: Hyderabad

Date: 30 July 2019

Statement of Consolidated Unaudited Results for the quarter ended June 30, 2019

Sl No.	Particulars	Quarter ended			Year ended
		30.06.2019	31.03.2019	30.06.2018	31.03.2019
		Un-Audited	Audited	Un-Audited	Audited
	Income				
1	Revenue from operations	59,527.28	61,331.62	45,323.70	227,919.77
2	Other income	185.47	188.19	1,474.30	2,668.26
3	Total income (1+2)	59,712.75	61,519.81	46,798.00	230,588.03
4	Expenses				
	(a) Cost of materials consumed	32,587.19	35,762.49	30,105.37	133,897.31
	(b) Changes in inventories of work in progress and finished goods	(3,042.46)	(2,606.82)	(5,391.48)	(8,341.09)
	(c) Employee benefits expense	5,702.98	5,133.78	5,025.47	20,982.44
	(d) Finance costs	686.99	684.57	654.07	2,846.07
	(e) Depreciation/amortisation expense	2,866.97	2,741.84	2,452.82	10,548.34
	(f) Other expenses	12,417.54	13,281.48	8,324.51	42,977.34
	Total expenses	51,219.21	54,997.34	41,170.76	202,910.41
	Profit before share of profit from joint venture & associate, exceptional items and tax (3-4)	8,493.54	6,522.47	5,627.24	27,677.62
6	Share of Profit of joint venture and associate, net of tax	2,549.09	1,899.71	1,463.23	4,874.32
7	Profit before exceptional items and tax (5+6)	11,042.63	8,422.18	7,090.47	32,551.94
8	Exceptional items	-	-	-	-
9	Profit before tax (7-8)	11,042.63	8,422.18	7,090.47	32,551.94
10	Tax expense				
	a) Current tax	3,042.45	1,610.67	2,141.46	8,192.27
	b) Deferred tax	(324.01)	407.84	(230.55)	718.82
	Total tax expense	2,718.44	2,018.51	1,910.91	8,911.09
11	Profit for the period (9-10)	8,324.19	6,403.67	5,179.56	23,640.85
12	Other Comprehensive income (net of tax)				
	(a) (i) items that will not be reclassified to profit or loss	-	(105.56)	-	(105.56)
	(ii) income tax on (i) above	-	36.66	-	36.66
	(b) (i) items that will be reclassified to profit or loss	(941.18)	1,113.41	447.96	2,099.81
	(ii) income tax on (i) above	197.07	(547.17)	(165.62)	(728.48)
	Total Other Comprehensive income, net of tax	(744.11)	497.34	282.34	1,302.43
13	Total Comprehensive income for the period (11+12)	7,580.08	6,901.01	5,461.90	24,943.28
14	Paid-up equity Share Capital (Face Value of Re.1/- per share)	2,542.48	2,542.48	2,540.93	2,542.48
15	Other equity				150,404.83
16	Earnings per Share (Face value Re. 1/- each) (not Annualised)				
	(a) Basic (in Rs.)	3.27	2.52	2.04	9.30
	(b) Diluted (in Rs.)	3.27	2.51	2.03	9.28

- The above consolidated unaudited financial results for the quarter ended June 30, 2019 have been reviewed by the Audit Committee on July 30, 2019 and approved by the Board of Directors at their meeting held on July 30, 2019.
- The consolidated unaudited financial results of the Company have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Auditors of the Company have carried out Limited Review of the financial results for the quarter ended June 30, 2019.
- The subsidiaries, joint venture and associate companies considered for the consolidated financial statements as on June 30, 2019 are Granules USA Inc., Granules Pharmaceuticals Inc., Granules Europe Limited (together known as "Subsidiaries") and Hubei Granules Biocause Pharmaceutical Co. Ltd. (known as "associate") and Granules Omnichem Pvt Ltd (known as "joint venture").
- Effective from April 1, 2019, the Group has adopted Ind AS 116 – Leases using modified retrospective method. This has resulted in recognizing right of use assets and lease liability as on April 1, 2019. The adoption of the standard did not have any material impact to the financial results.
- The Company operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.



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- 7 The Board of Directors at their meeting held on July 30, 2019 has declared first interim dividend of 25 paise per equity share of Re.1/- each.
- 8 The financial results include the Company's share of loss aggregating of Rs. 460.39 lakhs for quarter ended June 30, 2019 from joint venture in which the Company is Co-venturer. These financial results are based on the management certified financial information of the joint venture. As the joint venture do not present reviewed financial results on a quarterly basis, amount included therein have not been subject to review by the Statutory Auditors of the respective joint venture.
- 9 The figures for the quarter ended March 31, 2019 are the balancing figures between audited figures in respect to full previous financial year and the published unaudited year to date figures upto the end of the third quarter of the previous financial year, which were subjected to limited review.
- 10 The figures for the corresponding previous periods have been restated/regrouped wherever necessary, to make them comparable.
- 11 Standalone Results for the quarter / year ended are as under -

Particulars	Rs in lakhs			
	Quarter ended			Year ended
	30.06.2019	31.03.2019	30.06.2018	31.03.2019
	Un-Audited	Audited	Un-Audited	Audited
Revenue from Operations	56,784.79	56,099.67	44,033.91	209,843.26
Profit Before Tax	8,807.52	6,051.44	5,927.09	24,170.68
Profit After Tax	5,953.18	4,135.70	3,956.92	16,184.05

for and on behalf of the Board



FOR IDENTIFICATION ONLY

(Signature)
GRANES INDIA LIMITED
 Hyderabad

Krishna Prasad Chigurupati
 Chairman and Managing Director

Place: Hyderabad
 Date : July 30, 2019